

Nonprofit Legal Issues and Regulation

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PMAP 3210 Chapter 4



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Incorporation

- Many businesses in the United States are *Corporations*
 - Firm owned by shareholders that can easily be transferred through stock sales
 - The shareholders are not liable for firm debts like in partnerships or proprietorships
 - Represent 18% of firms, and 82% of business revenue
- In the nonprofit case, there is not ownership of the organization itself via shareholders, but instead run by members (more on members in a few slides)
- Despite this key difference, many nonprofits still file articles of incorporation
- Incorporating a nonprofit separates founder assets and corporate assets, and provides a similar liability shield as for-profit corporations do for their shareholders
- Incorporators are usually required to operate in a fiduciary interest in what's best for the corporation

Advantages of Incorporation

- ① Limited liability for nonprofit employees
- ② Tax advantages – corporate tax rates are lower than personal rates and nonprofits have further exemptions
- ③ Provides organizational structure and a culture of accountability and trust
- ④ Perpetual existence
- ⑤ Ancillary benefits such as: cheaper postage, free PSAs, attracts volunteers, the “halo effect,” and other benefits such as free and discounted items

Disadvantages of Incorporation

- ① Loss of internal, centralized control
- ② Significant increases in paperwork and the need to manage it
- ③ Significant overhead expenditure with compliance expenses
- ④ Increases in federal, state, and local tax filings

Corporate Name

- Incorporation gives an entity legal “personhood”
 - This is a necessary legal requirement to allow for the corporate liability shield to work, and has been upheld by the Supreme Court since the 1800s
- Like people people, corporate people generally need a name
- This can, but does not have to be, the name of your organization
 - For example, several corporate names file Form 990’s as “Corporate Name D.B.A. Nonprofit Name”
- Regardless, the corporate name should be: short, descriptive, and indicating some sort of tax-exempt purpose

Purpose Statement

- The purpose statement provides as broad of a statement as possible to:
 - ① Allow the corporation to grow and flourish
 - ② Avoid amending the articles of incorporation
 - ③ Attain and maintain 501(c)(3) (or other tax-exempt) status
- Note: this is **not** the same as the mission statement!
- IRS Example: “This corporation is organized exclusively for one or more purposes as specified in Section 501(c)(3) of the Internal Revenue Code or the corresponding section of any future federal tax code, including, for such purposes, the making of distributions to organizations that qualify as exempt organizations under Section 501(c)(3) of the Internal Revenue Code, or the corresponding section of any future tax code.”

Nonprofit Articles of Incorporation

- Once the incorporators have chosen to incorporate their nonprofit, they must file *Articles of Incorporation* with the state they are operating in.
 - IRS suggested included language and the process of filing articles of incorporation in the State of Georgia are included in this week's iCollege documents
- The articles will generally consist of stating the following organizational components:
 - Purpose Statement
 - Membership governance
 - Name, address, and other location identifiers
 - Limitations on executive director liability
 - Special tax status statement
 - The process of dissolution and what will happen to nonprofit assets

Nonprofit Members

- Members regarding a nonprofit corporate structure are different than individuals paying dues to the organizations
- Members from a structure perspective refers to a group providing governance authority beyond the board of directors of a nonprofit organization
- Members in this context are effectively the nonprofit equivalent of shareholders
- Member organizational decisions include major decisions such as choosing board members

Member vs Non-Member Corporation

- Most nonprofit organizations choose to not have members to allow for more direct, internal organizational control.
- Disadvantages of having members:
 - High level decision-making becomes complicated
 - Increased expense and time-consumption for making organizational changes
 - Hard to undo
 - Undermines organizational stability
- Advantages of having members:
 - More egalitarian, giving an external voice
 - All participants have an equal vote or voice in organization decision making

Nonprofit Board and Legal Responsibilities

- The nonprofit board of directors are volunteers who oversee nonprofit activities and work directly with nonprofit executives on organizational strategy.
- Nonprofit members are legally required to:
 - Duty of care
 - Duty of Loyalty
 - Duty of Obedience
 - Avoid Conflicts of Interest

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Applying for 501(c)(3) status

- After filing the Articles of Incorporation with the state, the next step in nonprofit formation is applying for 501(c)(3) [or other federal tax-exempt] status
- To file for 501(c)(3) status you'll need the following:
 - From the state: Articles of Incorporation, Data Transmittal Form 227, Notice of Incorporation from GA, Initial "Annual Registration"
 - Nonprofit Bylaws
 - IRS Form SS-4 to obtain an EIN
 - IRS Form 1023: 501(c) Tax Exempt Application
 - IRS Determination Letter
 - Form 3605 (Optional): Application recognition of exemption
 - URS Charitable Registration (if applicable)
 - Form C-100: Charitable Organization Registration

Benefits of being 501(c)(3)

- ① Exemption on all income excluding unrelated business income
 - Unrelated business income – income generated that is generated by a trade or business that is regularly carried on and not substantially related to the charity's tax exempt purpose
- ② Individual donors may deduct their contributions from their taxes
- ③ Qualification to receive donations from many major foundation contributions and organizations such as the United Way
- ④ Governmental “stamp of approval” and accountability signalling with IRS oversight
- ⑤ In qualifying states, 501(c)(3) organizations can self-insure for the purposes of complying with unemployment compensation laws

Disadvantages and Costs of being 501(c)(3)

- ❶ Organization is unable to engage in partisan political activity on behalf of any political candidate
- ❷ Organization may not *substantially* engage in lobbying or propaganda
- ❸ Organization must make copies of their Form 990 tax return available upon request
- ❹ Obtaining 501(c)(3) is costly both in terms of time and money
- Time and Money Cost of Nonprofit Formation in Georgia:
 - GA Articles of Incorporation: \$100
 - GA Notice of Incorporation: \$40
 - GA initial “Annual” Registration: \$50
 - GA Charitable Registration: \$45
 - IRS 501(c) \$275 or \$600
 - GA Incorporation: 5-12 business days
 - IRS 501(c) tax exemption: 2 weeks to 3 months.

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State Regulation of Donations

- 39 States regulate donations, requiring charities to register and provide information about fundraising to the state.
- In other words, if you're a nonprofit in GA, you need to be registered in other states as well to ask for funds
- Note: this includes Internet-based fundraising
- Exempt states include: DE, ID, IN, IA, MT, NE, NV, SD, TX, VT, WY

Unified Registration Statement

- The National Association of Attorneys General and the National Association of State Charities Officials have worked together to streamline the process of filing across the country
- Their joint work created the **Unified Registration Statement**, creating a standardized reporting form to use when filing with multiple states
- The URS is accepted in Georgia with a supplemental form
- Currently the URS is only good for initial filing, not annual reports
- Colorado, Florida, and Oklahoma do not accept the URS

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Classroom Discussion Question

- After reading through the costs and benefits of nonprofits incorporating, do you think a nonprofit organization should be incorporated? Why or why not? Answer based upon the framework of costs and benefits described in the beginning of Chapter 4. How does your feelings apply to the nonprofit organization you are considering constructing?